the AGM on 10 October 1997, he said that only some of the hotels were doing well and 80 per cent of IHCL's profits came from just five properties, necessitating a serious relook at the international strategy. He added that the hotels in the US and the UK had to reckon with a very 'competitive environment', as the company suffered from not having a brand image.

This did not, however, signal a reversal or dilution of the expansion policy. Ratan continued with overseas acquisitions, following what he had underscored more than a decade ago in his 1983 Strategic Plan and his blueprint for the growth of Tata companies. The prescription of the policy for IHCL was also influenced by Ratan's view that there was a critical need to hedge the risk of the Indian business from bad business cycles or regional issues that might affect the inflow of foreign tourists—an approach whose prescience became clear after the November 2008 terrorist attack in Mumbai which led to the contraction of the inflow of foreign tourist to India. In the month of January 2009 alone the inflow of foreign tourists plunged by 17 per cent.

The sell-off of identified foreign assets was necessary as most of the overseas assets were 'mismatches' and 'did not live up to the expectations' of the customers residing in a Taj hotel, with the possible exception of St James' Court Hotel in London, says S. Ramakrishnan, who returned to the Taj in 1997 as its deputy managing director after the new dispensation under Ratan took charge of the company. The new emphasis was to expand the company's presence abroad selectively and in a calibrated manner.

What had been acquired thus far were mainly hotels that had a two- to three-star rating at the time: the Bailey's Hotel in London, the Executive Plaza Hotel in Chicago and the Lexington in New York. Nationally too, several hotels whose quality and standards could not remotely compare with existing Taj hotels had been acquired. The Holiday Inn, Agra, which was renamed as Taj View, and another hotel in Varanasi that was rebranded as Taj Ganges were two examples.

Such hotels had to be categorized differently to leave no confusion in customers' minds. They could not expect from these hotel the quality of services that a Taj hotel offers, says Ramakrishnan. The expansion plans also included increasing IHCL's international presence through acquisitions and strategic alliances. Within just about a year of Krishna Kumar assuming charge, in 1998, the company opened the Taj Exotica in Bentota, Sri Lanka. Simultaneously, it augmented its presence in India.